

IN THE HONORABLE SUPREME COURT OF THE REPUBLIC OF LIBERIA
SITTING IN ITS OCTOBER TERM, A. D. 2021

BEFORE HIS HONOR: FRANCIS S. KORKPOR, SR.CHIEF JUSTICE
BEFORE HER HONOR: JAMESETTA H. WOLOKOLIE.....ASSOCIATE JUSTICE
BEFORE HER HONOR: SIE-A-NYENE G. YUOHASSOCIATE JUSTICE
BEFORE HIS HONOR: JOSEPH N. NAGBE..... .ASSOCIATE JUSTICE
BEFORE HIS HONOR: YUSSIF D. KABA.....ASSOCIATE JUSTICE

Forest Venture, Inc., by and thru its Director and
Chief Executive Officer, Mr. Terrence Yu, all of its
Authorized Officers and/or Managers, of the City
of Monrovia, Liberia..... Appellant

VERSUS

His Honor Yussif D. Kaba, Associate Justice of the
Honorable Supreme Court of Liberia, Presiding in
Chambers for the October Term, A.D. 2019, Temple
of Justice, Monrovia, Montserrado County, Republic
of Liberia.....1st Appellee

AND

International Capital Consultant (ICC) by and thru
its Chairman, General Manager and all of its
Authorized Officers of the City of Monrovia,
Montserrado County, Liberia.....2nd Appellee

GROWING OUT OF THE CASE:

Forest Venture, Inc., by and thru its Director and
Chief Executive Officer, Mr. Terrence Yu, all of its
Authorized Officers and/or Managers of the City of
Monrovia, Liberia.....Informant

VERSUS

International Capital Consultant (ICC) by and thru
its Chairman, General Manager and all of its
Authorized Officers of the City of Monrovia
Montserrado County, Liberia.....Respondent

GROWING OUT OF THE CASE:

International Capital Consultant (ICC) by and thru
its Chairman, General Manager and all of its
Authorized Officers of the City of Monrovia
Montserrado County, Liberia.....Petitioner

VERSUS

Her Honor Eva Mappy Morgan, Chief Judge
Commercial Court of Liberia, Temple of Justice
Monrovia, Montserrado County, Republic of
Liberia.....1st Respondent

APPEAL

BILL OF INROMATION

PETITION FOR THE
WRIT OF PROHIBITION

AND
Forest Venture, Inc., by and thru its Director and
Chief Executive Officer, Mr. Terrence Yu, all of its
Authorized Officers and/or Managers, of the City of
Monrovia, Liberia.....2nd Respondent

GROWING OUT OF THE CASE:

International Capital Consultant (ICC) by and thru
its Chairman, General Manger and all of its
Authorized Officers of the City of Monrovia
Montserrado County, Liberia.....Plaintiff

VERSUS

Forest Venture, Inc., by and thru its Director and
Chief Executive Officer, Mr. Terrence Yu, all of its
Authorized Officers and/or Managers of the City of
Monrovia, Republic of Liberia.....Defendant

ACTION OF DAMAGES
FOR BREACH OF
CONTRACT

Heard: November 3, 2021

Decided: February 17, 2022

MADAM JUSTICE WOLOKOLIE DELIVERED THE OPINION OF THE COURT

This Opinion disposes of two proceedings before this Court: an amended bill of information filed before this Court by the appellant, Forest Venture, Inc., complaining the conduct of the 1st appellee, His Honor Yussif D. Kaba, Justice Presiding in Chambers, and the 2nd appellee, International Capital Consultant (ICC); and an appeal announced by the appellant from the consolidated ruling issued by Justice Yussif Kaba in which he denied the Appellant Forest Ventures' bill of information filed before him and granted the petition for a writ of prohibition filed by 2nd appellee, International Capital Consultant.

In keeping with section 6.3.1 of the Civil Procedure Law, the Court made a decision to consolidate the actions for disposition because they involve a common question of fact and hence the need to avoid delay and cost.

The facts as revealed by the records are that on November 5, 2019, the appellee herein, International Capital Consultant (ICC), filed an action of damages for breach of contract against the Appellant Forest Ventures, Inc. before the Commercial Court of Liberia. The Appellee ICC alleged that it was awarded a Forest Management Contract Area "K" (FMC K) by the Government of Liberia, covering forest areas lying and situated in Nimba, Grand Gedeh and Rivercess Counties; that the ICC offered the referenced forest areas to Forest Ventures, Inc. to extract and sell commercial species of round logs and to saw and process timbers products for sale on the national and international markets. The offer was accepted by Forest Venture, Inc. and the parties executed a Production and Marketing/Sales Agreement (PMSA) for a period of twenty-five years. The ICC stated that subsequent to the execution of the

agreement, Forest Ventures, Inc. reneged on its obligations under the contract; thereby, causing the ICC damages to an immeasurable proportion, and despite several communications between the parties, the default was not remedied. The ICC prayed the Commercial Court to adjudge Forest Ventures, Inc. liable for breach of contract and award it (ICC) special damages of US\$3,722,589.86 (United States Dollars Three Million, Seven Hundred Twenty-two Thousand, Five Hundred Eight-nine Dollars and Eighty-six cents); general damages of US\$1,000,000.00 (United States Dollars One Million) plus reasonable attorney fees.

In response to the ICC's complaint, Forest Ventures, Inc. filed a twenty-five count answer in which it contended that the ICC is not entitled to damages of any kind because it contributed to the alleged default for it is seeking damages; that the complaint is filed prematurely; that the ICC failed to show with particularity the specific obligations that Forest Ventures, Inc. reneged upon which resulted to material breach of the agreement between the parties, and that the ICC failed to state or establish injury in fact or specific injury it sustained as a consequence of the alleged breach it asserted in its complaint.

When pleadings rested, the ICC filed an *ex parte* application for a court order to possess beneficial asset/property, praying the court to seize and turn over to it the species of round logs and timbers which had been extracted by the Forest Ventures, Inc. from the Forest Management Contract Area.

According to the ICC, ownership of the extracted logs and timbers cannot vest in the appellant, Forest Ventures, Inc., because it has reneged on its obligations under the agreement between the parties. The ICC specifically relied on clause 6 of the Production and Marketing/Sales Agreement (PMSA) executed by the parties as the basis for its request to the court to seize and deliver to it the logs and timbers extracted by the appellant/respondent from the Forest Management Contract Area. Clause 6 of the agreement reads:

"Ownership of Harvested Logs: it is agreed and understood by the parties that the Forest Contractor [Forest Ventures, Inc.] shall have ultimate exclusive beneficial ownership of the exported logs from the above mentioned concession areas and shall have the exclusive right to market and sell the Harvested Logs for export on behalf of the Contract Holder [ICC] for the account of the Forest Contractor, independent of the Contract Holder, subject to the limitations with regard to milling and subject to the fact that beneficial ownership of the exported logs under this clause is subject to meeting the requirements under clause 9.2."

Clause 9.2 referenced in clause 6 above reads:

"Payment of Taxes—it is mutually agreed by the parties that the Forest Contractor [Forest Ventures, Inc.] shall be responsible for and pay all taxes and fees legally due and all such payments shall be made through the Contract Holder [ICC]. The parties herewith agree to set up a payment mechanism through escrow account arrangements between

the parties, or equivalent solutions, to make payments to cover fees and taxes as listed below:

- Customs export tax on all export logs
- Stumpage tax on all harvested logs, except milling logs
- Revenue tax
- Port handling fee
- Chain of custody fee
- Land rental
- Village stumpage fee of US\$0.75 per cbm of exported logs

The Appellee ICC concluded in its application that the intent of Clause 6 of the agreement and the Commercial Court Act is to protect and preserve the rights of the Appellee ICC to the round logs and timbers extracted from the forests by the appellant in the interim and in the event of material breach of the agreement by the appellant.

On October 31, 2019, Her Honor Eva Mappy Morgan, Chief Judge of the Commercial Court, granted the application made by the appellee and issued a writ of possession commanding the Sheriff of the court to "put the applicant [appellee] in possession of the various species of round logs and timbers extracted from FMC "K"... pending the final determination of the main suit out of which the instant application grows or until otherwise ordered." The appellee was therefore placed in possession of the species of logs and timbers consistent with the writ of possession issued by Her Honor Eva Mappy Morgan.

On November 5, 2019, five days after issuance of the writ of possession in favor of the appellee, Her Honor Eva Mappy Morgan, issued another order in which she rescinded the writ of possession previously issued by her, this time commanding the Sheriff of the court to "rescind the writ of possession dated 31 October 2019, placing the plaintiff [appellee] in possession of various species of round logs and timbers extracted from "FMC K" ... and put the defendant [appellant] back in possession without let or hindrance."

Upon service of the order to rescind the writ of possession on the appellee ICC, it filed a petition for a writ of prohibition before the Justice in Chambers to restrain and prohibit the allegedly unlawful action taken by Judge Mappy Morgan. The appellee contended that Judge Eva Mappy Morgan's rescinding the writ of possession without a hearing was unlawful, especially given that the appellant in whose favor the order to rescind was issued did not file any paper before the court to the effect. The appellee further contended that the conditions stipulated in clause 9.2 of the Production and Marketing/Sales Agreement between the parties created a lien on the assets/properties [logs and timbers] subject of the agreement, thereby giving the appellee the right under the law to file an *ex parte* application to possess the assets/properties

in the event of the appellant's failure to discharge the obligations contained in that clause.

The Chambers Justice, His Honor Yussif D. Kaba, cited the parties for a conference and ordered Judge Mappy Morgan to temporarily reinstate the writ of possession rescinded by her pending the outcome of the conference. After the conference was had with the parties, the Justice issued the alternative writ of prohibition instructing the respondents named therein to file returns to the petition.

In its returns to the appellee petition for prohibition, the appellant argued that Judge Eva Mappy Morgan was without jurisdiction to have heard and determined the *ex parte* application filed by the appellee because the amount sued for in the underlying action of damages is above US\$1,000,000.00 (One Million United States Dollars); that the appellee's claim did not grow out of and is not a secured transaction and the *ex parte* application was not supported by any indemnity bond as is normally required for attachment or other provisional remedies; that the *ex parte* application was unconstitutional in that it sought to dispossess the appellant of the possession and ownership of the species of round logs and timbers and place the appellee in actual possession thereof without any hearing or judgment arising out of a competent court; that service of the *ex parte* application was never done in keeping with the writ of summons ordered issued by Judge Mappy Morgan; that the Chambers Justice's order to reinstate the writ of possession without an order to stay further proceeding in the matter is unusual and unsupported by law; that Judge Mappy Morgan acted in consonance with the law when she *sua sponte* rescinded the order of possession, as she took judicial notice of the fact that she lacked jurisdiction to have issued said order.

While the petition for prohibition was pending before the Chambers Justice undetermined, the Appellant Forest Ventures, Inc. filed a bill of information before the Justice alleging that notwithstanding the prohibition placed on the parties by the Justice, the appellee ICC was transporting and selling the round logs and timbers to third parties in and outside of Liberia; that the Commercial Court only give the appellee the authority to possess the logs, but it was not authorized to dispose of the logs while the matter was still pending. In essence, the bill of information alleged that the appellee's conduct of disposing of the round logs while the matter was pending was contrary to or in disregard to the orders of the Chambers Justice as contained in the alternative writ of prohibition.

The appellee filed its returns to the bill of information stating that the species of round logs harvested by the appellant from the Forest Management Contract Area belong to the appellee; that the appellant's beneficial right to the logs only arises as a result of the fulfilment of the provisions of section 9.2 of the agreement; that the appellee ICC is properly and legally situated to dispose of the logs for its economic benefit when Section 9.2 of the Agreement is violated. The appellee concluded that the assertion by the appellant that

the appellee cannot ship the logs is baseless, praying the Justice to deny and dismiss the bill of information.

After conducting a hearing into the bill of information and the petition for prohibition filed by the parties, Justice Yussif D. Kaba delivered a consolidated ruling on the two actions, denying the appellant's bill of information and granting the appellee's petition for a writ of prohibition. The Justice held that the bill of information filed by the appellant did not satisfy the test for which it may lie under the facts and circumstances of the case; that his decision to order the temporary reinstatement of the writ of possession issued by Judge Eva Mappy Morgan on October 31, 2019, in favor of the Appellee ICC pending the outcome of the conference is in keeping with Rule XIII, Part 2 of the Revised Rules of the Supreme Court which provides that "upon the application of a party, by petition duly verified according to law and the rules of this Court, for a remedial writ prior to the issuance of the alternative writ, the Justice may ordinarily cite the parties to a conference or he may issue a 'citation' and if temporary relief shall be deemed necessary, it shall be provided for in such citation"; that the appellant failed to adduce proof such as receipts or shipment documents to establish that the appellee was selling the logs and timbers as alleged in the bill of information; that the appellant did not allege any disregard or disobedience to the order of the Court, but the said appellant is rather praying for a stay order to exclude the appellee from further transacting in the logs. The Justice then concluded that the order to reinstate the writ of possession and to issue the alternative writ without specifically staying the appellee from further dealing with the logs was within the sound discretion of the Justice in Chambers and consistent with the laws extant in this jurisdiction. The appellant's bill of information was hence denied and dismissed.

On the writ of prohibition filed by the appellee ICC, the Justice held that the granting by Judge Eva Mappy Morgan of the appellee's *ex parte* application for possession of beneficial assets/property did not amount to a violation of the due process right of the appellant because the law, specifically Chapter Seven of the Civil Procedure Law, provides for *ex parte* proceeding in the granting of provisional remedies; that the party against whom the temporary order or relief contained in a provisional remedy is issued has the right or opportunity under the provisional remedies statute to move the court that issued the order to vacate the order through a formal application accompanied with a bond; that Article VI of the Act Establishing the Commercial Court of Liberia empowers the court to entertain *ex parte* application to obtain possession of a secured property. The Justice also held that the appellant's contention in regard to the jurisdiction of Judge Eva Mappy Morgan to hear and determine the *ex parte* application should have first been raised with the Judge through an application filed before the court in keeping with Chapter 7 of the Civil Procedure Law; that the appellant cannot approach Judge Mappy Morgan on an alleged irregularity without a formal application before the court; that it is unusual, irregular and use of the wrong rules to rescind a court order, ruling or judgment without notice to the opposing party or an opportunity for a hearing; that the appellant was required by law to file a motion to rescind the writ of possession stating reasons therefor.

The Justice, based on the foregoing reasons, granted the peremptory writ of prohibition prayed for by the appellee ICC, which in essence reversed the order to rescind the writ of possession issued by Judge Mappy Morgan.

The appellant Forest Ventures, Inc. excepted to the Justice's ruling and announced an appeal to the Full Bench of the Supreme Court for review thereof.

A determination of this case hinges primarily on whether Judge Eva Mappy Morgan erred when she *sua sponte* rescinded her order, placing the appellee in possession of the logs, based on the realization that she unilaterally lacked jurisdiction over the case out of which the *ex parte* application for the writ of possession grew?

In his consolidated ruling, Justice Kaba held that Judge Mappy Morgan erred when she *sua sponte* rescinded the writ of possession issued by her in favor of the appellee without the appellant filing a formal application before the court to rescind her ruling; that the appellant should have filed a motion to rescind stating the reasons therefor. Justice Kaba also held that the appellant's contention in regard to the jurisdiction of Judge Eva Mappy Morgan to decide the *ex parte* application should have first been raised with the Judge through an application filed before the court in keeping with Chapter 7 of the Civil Procedure Law.

We disagree with this conclusion reached by our Colleague. Judge Mappy Morgan's authority to solely preside over and determine cases filed before the Commercial Court derives from the Act Establishing the Commercial Court. Article V, sub-section 3 of that Act defines the jurisdiction of a single judge of the court and the jurisdiction of the three-judge panel of the court as follows:

"A case filed before the Commercial Court may be heard by one of the judges of the Commercial Court, provided that where the amount of the claim is in excess of US\$1,000,000.00 (One Million United States Dollars) or its Liberian Dollars equivalent, the case shall be heard by the full three-judge panel."

The provision of the Act quoted above is abundantly clear on the jurisdiction to be exercised by a single judge of the court. In this case, the appellee, ICC, filed an action of damages for breach of contract against the appellant Forest Ventures, Inc. before the Commercial Court, praying the court to award it (appellee) damages in the total amount of US\$ 4,722,589. 96 (United States Dollars Four Million, Seven Hundred Twenty-two Thousand, Five Hundred Eighty-nine Dollars Ninety-six Cents) comprising of both special and general damages, plus reasonable attorney fees. The amount involved in the case is unquestionably beyond the jurisdiction of a single judge of the court, and Judge Mappy Morgan should have as a matter of law recognized from the onset that she alone could not have proceeded to entertain and make a determination on an application growing out of a case over which she lacked jurisdiction as a single judge. Not having taken cognizance of her own jurisdiction over the matter, the issuance of the writ of possession by her in favor of the appellee was within the contemplation of our law void ab initio,

Chambers contending that the appellee was exporting and selling the logs and timbers subject of the dispute outside of Liberia. The Justice denied the bill of

and the appellant's failure to have filed a motion to rescind before the judge did not preclude her from rescinding her own order since both statutory and common laws allows for a judge to modify or rescind her/his ruling in the term in which she/he is sitting. *Raymond International (Liberia) Ltd. V. Dennis*, 25 LLR 131, 142 (1976); *Fallah v. RL*, Supreme Court Opinion, March Term, 2007.

The records show that Judge Mappy Morgan issued the writ of possession on October 31, 2019; merely five days later, on November 5, 2019, she issued another order rescinding the writ of possession. The Commercial Court being a specialized court that operates terms on a month to month basis unlike the other courts of general jurisdiction, Judge Mappy Morgan acted within a reasonable time when she rescinded the writ of possession issued by her, and therefore she committed no error when she *sua sponte* rescinded the writ of possession issued by her based on her lack of jurisdiction to hear the case alone. The law in this jurisdiction is that the court is master of its own records and can therefore *sua sponte* enter thereon and correct its own ruling without prejudice to a party. Judge Mappy Morgan's act to rescind her order was proper especially realizing that her proceeding into hearing and determining any aspect of the instant case would be an exercise in futility.

Besides, it is a foundational principle of our jurisprudence that courts of Liberia, including the Supreme Court, are duty bound to first determine their own jurisdiction over a given matter, because where jurisdiction is wanting, every action taken by such courts is void ab initio. *The Management of Lee Group Enterprises, Inc. v. His Honor J. Boima Kontoe, et al.* Supreme Court Opinion. October Term, A.D. 2014; *Firestone Plantation Company v. Kollie*, 41 LLR 63, 78 (2002); *Boakiini and Talinco General and Construction Enterprises v. Karel Logging Corporation*, 37 LLR 247, 252 (1993). We therefore hold that Judge Mappy Morgan acted within the pale of the law when she *sua sponte* rescinded her ruling revoking the order that she had earlier issued.

Prohibition, as this Court has held, will lie where the tribunal or respondent has assumed jurisdiction not ascribed to it by law, or has exceeded its designated jurisdiction, or in the exercise of its lawful jurisdiction, is proceeding by rules other than those which should be observed at all times. In all three of these instances, prohibition will lie to restrain the respondent. *Garlawolu et al v. Election Commission*, 41 LLR 377, 384 (2003); *His Honor Holder et al. v Sirleaf-Hage et al.*, Supreme Court Opinion, October Term, 2013; *Chariff Pharmacy v. Pharmacy Board of Liberia et al.*, 37 LLR 135, 145 (1993); *Jackson F. Doe v. His Honor Joseph Nagbe and the Liberia Petroleum Refining Company*, Supreme Court Opinion, March Term 2021.

As we held earlier in this Opinion, Judge Eva Mappy Morgan did not act irregularly or by the wrong rules when she *sua sponte* rescinded the writ of possession issued by her in favor of the appellee. Her order being without jurisdiction was void ab initio, therefore there was no legal basis for the granting of a writ of prohibition. Accordingly, the Chambers Justice ruling granting the writ of prohibition is erroneous and same is hereby